
Conjoint-Based Pricing & Portfolio Optimization

Supplement Brand New Product Launch

Case Study | Market Research Strategy

CPG client needed data-driven approach to optimize new vitamin launch in crowded category

SITUATION

Major CPG company preparing to launch new vitamin supplement line in crowded category with established competitors.

Leadership faced uncertainty across product formulation, pricing, claims, and packaging.

OBJECTIVES

Quantify consumer preferences to optimize configuration:

Identify optimal ingredient, determine price positioning, evaluate claim resonance, optimize package size

APPROACH

Choice-Based Conjoint with HB estimation

n=1,200 category buyers | 12 choice tasks | 4 attributes, 14 levels | Randomized first choice simulation

Vitamin D3 at \$24.99 with "Clinically Tested" claims delivers +9 point share gain

Consumer preferences are driven by **price sensitivity** (38%) and **ingredient efficacy** (32%). Vitamin D3 outperformed alternatives; "Clinically Tested" resonated more than "All Natural" or "Doctor Recommended."

OPTIMAL PRICE

\$24.99

SHARE GAIN

+9 pts

TOP DRIVER

38%

Price sensitivity

RECOMMENDATION

Launch **Vitamin D3** formulation at **\$24.99** (60-day supply) with "Clinically Tested" positioning.

Choice-based conjoint quantified preferences across 4 attributes with 1,200 category buyers

Conjoint analysis simulates real purchase decisions to reveal true preferences and price sensitivity.

SAMPLE

n = 1,200

Category buyers, nationally representative

DESIGN

12 choice tasks per respondent

3-4 product configs + "none" option

ATTRIBUTES TESTED



Key Ingredient

Vitamin D3, B Complex, Omega-3, Multivitamin



Price Point

\$19.99, \$24.99, \$29.99, \$34.99



Package Size

30-day, 60-day, 90-day supply



Brand Claim

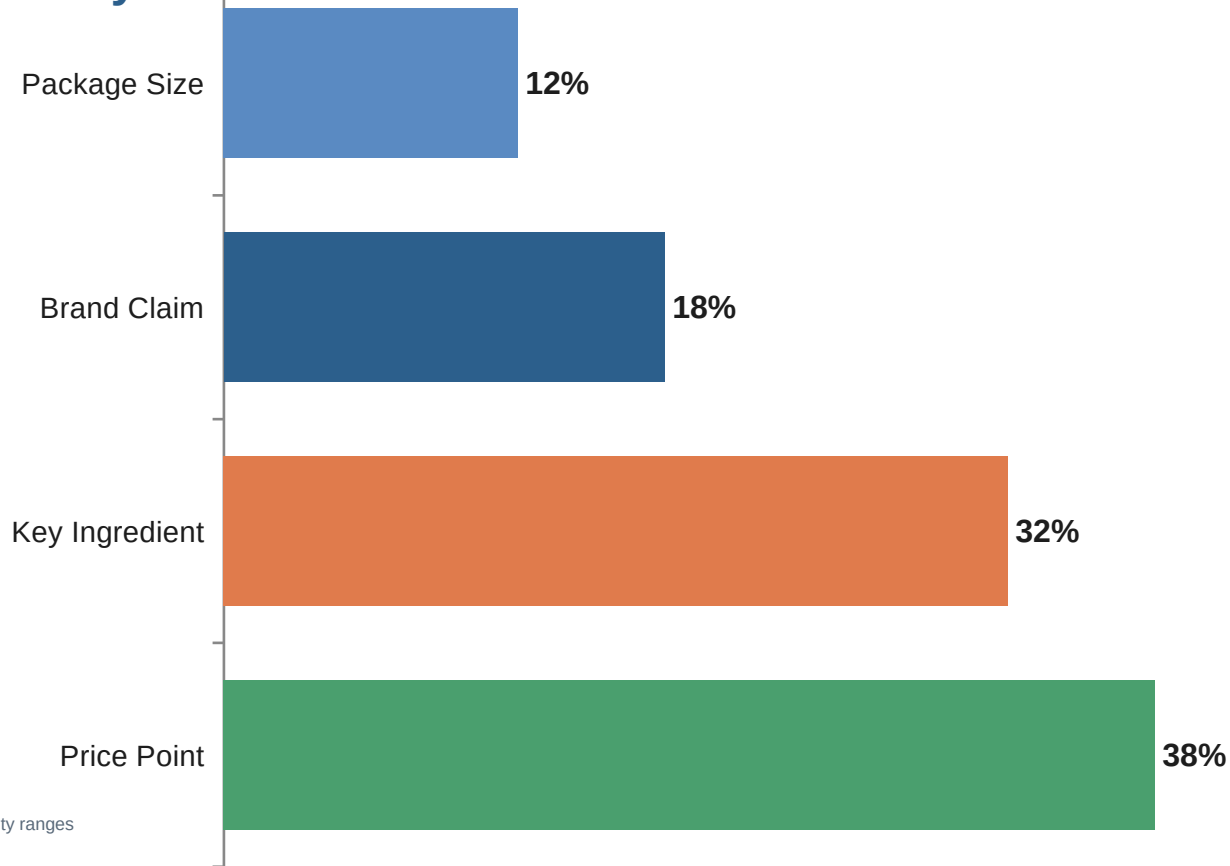
Clinically Tested, All Natural, Doctor Rec

Price drives 38% of purchase decisions, followed by ingredient efficacy at 32%

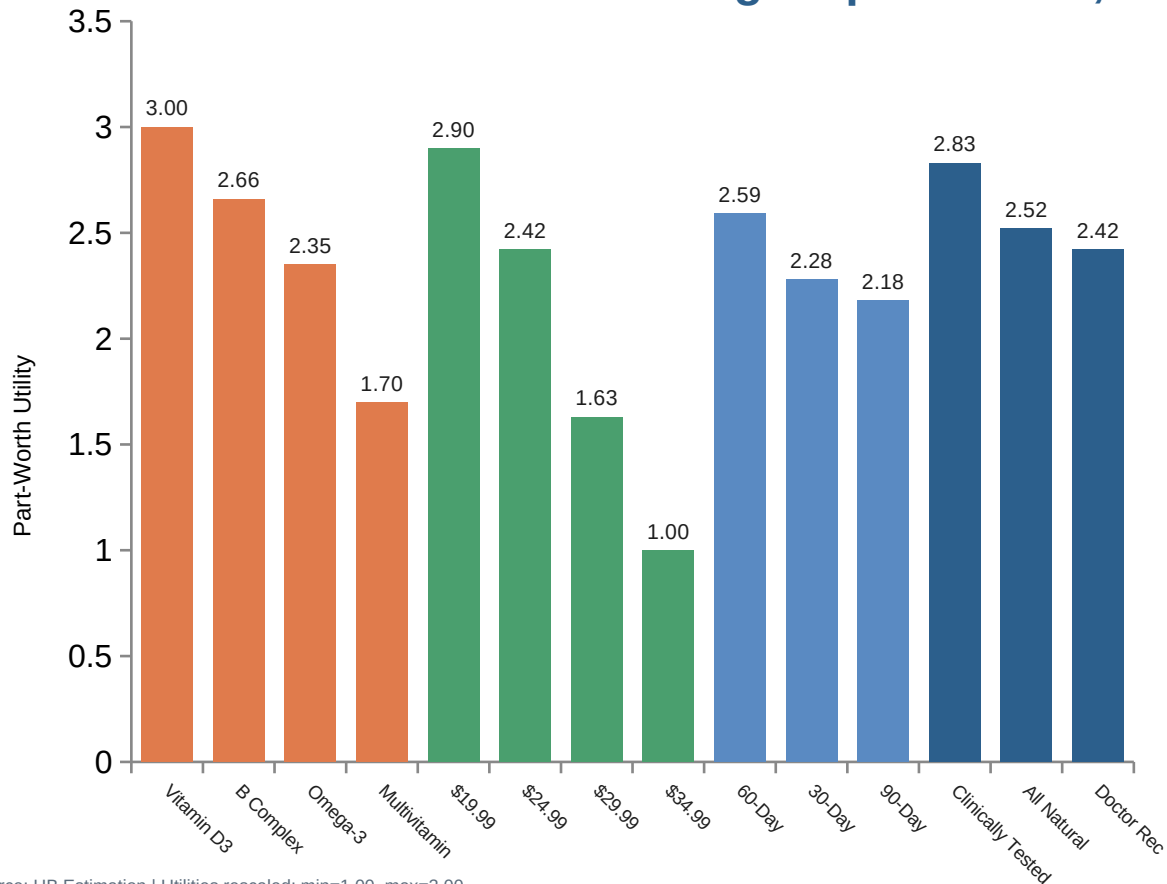
Price and ingredient together account for 70% of decision weight.

IMPLICATION

Optimize price and ingredient first; claims and packaging provide incremental lift.



Vitamin D3 and \$19.99 drive strongest preference; \$34.99 is a share killer



HOW TO READ

Higher = stronger preference. 2.0 drives 2x the share of 1.0.

LEGEND

- Key Ingredient
- Price Point
- Package Size
- Brand Claim

KEY FINDING

Vitamin D3 delivers 3x the preference of \$34.99 pricing.

Optimized configuration captures 9 share points through ingredient, price, and claim changes

PRODUCT	INGREDIENT	PRICE	PACKAGE	CLAIM	SHARE
Competitor A	Omega-3	\$24.99	60-Day	All Natural	24%
Competitor B	B Complex	\$29.99	90-Day	Doctor Recommended	23%
Client (Before)	Multivitamin	\$29.99	30-Day	All Natural	22%
Client (After)	Vitamin D3	\$24.99	60-Day	Clinically Tested	31%
Competitor C	Vitamin D3	\$34.99	90-Day	Clinically Tested	~0%

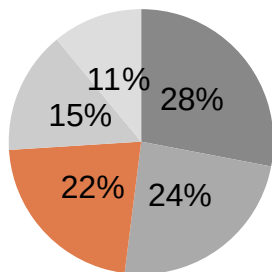
Four changes: Multivitamin → D3, \$29.99 → \$24.99, 30-Day → 60-Day, All Natural → Clinically Tested

+9 pts

Optimized configuration grows client share from 22% to 31%, taking share from all competitors

BEFORE OPTIMIZATION

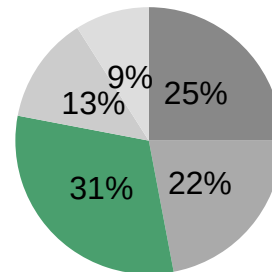
Before Optimization



■ Comp A ■ Comp B ■ Client ■ Comp C ■ Other

AFTER OPTIMIZATION

After Optimization



■ Comp A ■ Comp B ■ Client ■ Comp C ■ Other

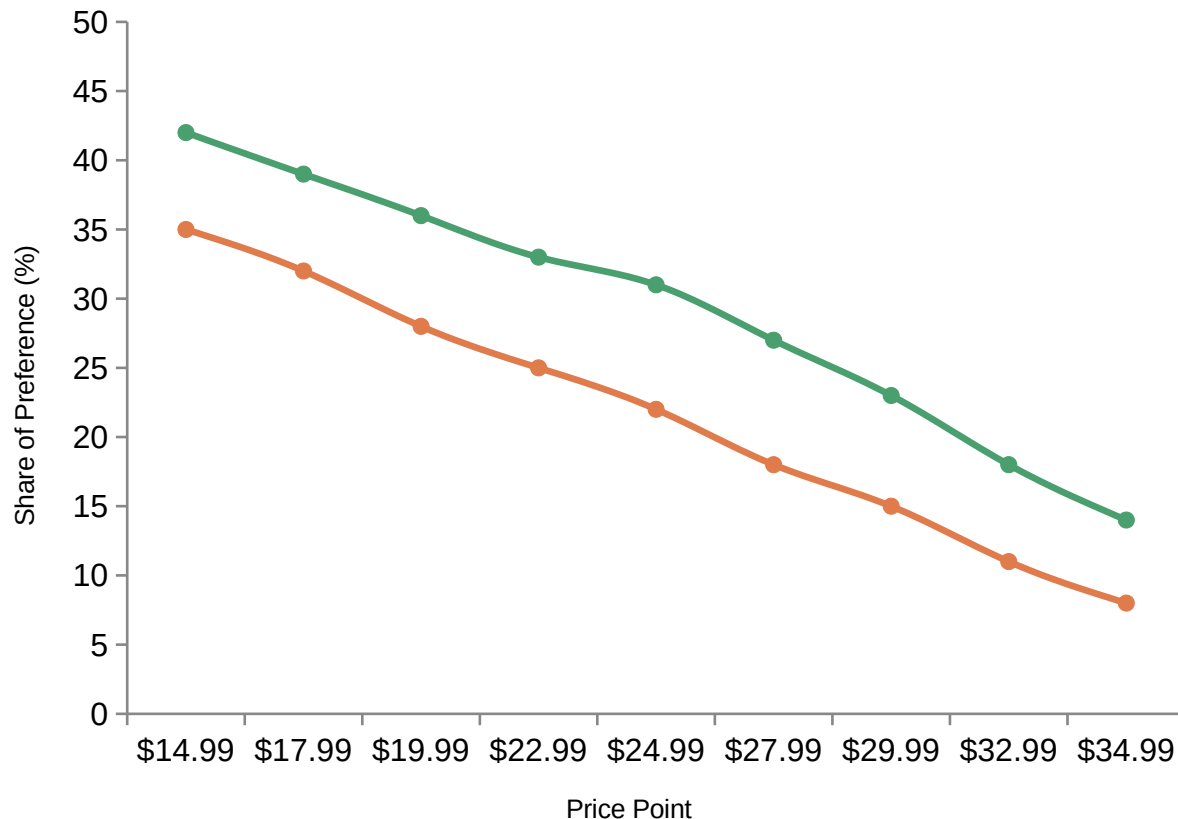
Share drops 15 points between \$24.99 and \$34.99, confirming strong price sensitivity

Optimized Current

Each \$5 price increase costs ~5 share points on average across the range.

IMPLICATION

Price elasticity is steep in this category.
Margin gains from higher prices must offset significant volume loss.



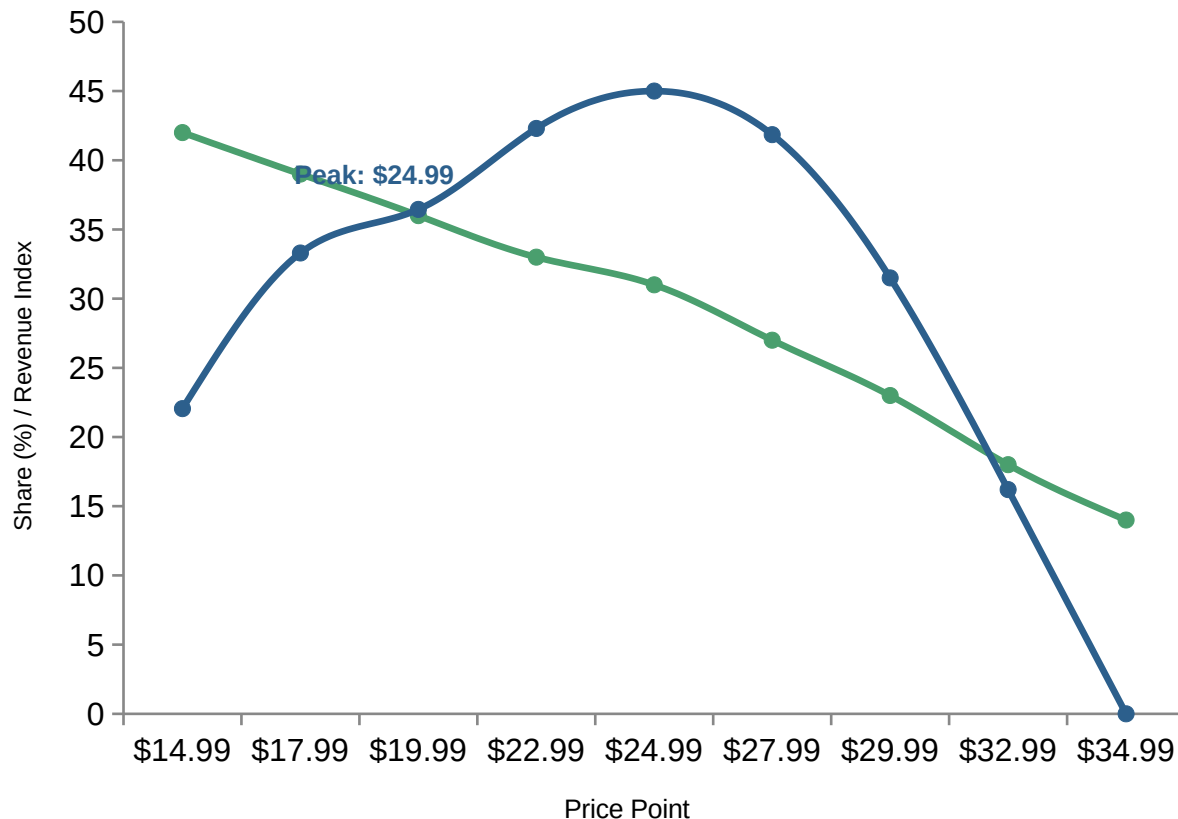
Revenue index peaks at \$24.99, balancing share capture against margin erosion

—●— Share of Preference (%) —●— Revenue Index

\$24.99 maximizes revenue index—lower prices sacrifice margin; higher prices lose too much volume.

REVENUE INDEX

Price × Share of Preference. Peak indicates optimal price point.



Launch Vitamin D3 at \$24.99 (60-day) with "Clinically Tested" to capture +9 share points

INGREDIENT	Vitamin D3	Hero ingredient with B vitamins secondary
PRICE POINT	\$24.99	Optimal balance of share and margin
BRAND CLAIM	"Clinically Tested"	Feature prominently on packaging
PACKAGE SIZE	60-Day Supply	Primary SKU with 30-day trial option

EXPECTED IMPACT

Simulated market share gain vs. current configuration

+9 pts

Client adopted all recommendations, launching optimized configuration to market

FORMULATION

Vitamin D3 Lead

Adopted recommended ingredient hierarchy

PRICING

\$24.99 Launch

Optimal price from revenue index

POSITIONING

"Clinically Tested"

Central claim across all assets

Projected Share Gain

+9 pts

vs. prior configuration